

While it's vital to understand the individual attributes of each asset in a portfolio, MPT goes beyond single assets to emphasize a holistic approach to the risks and returns of the overall portfolio. The same can be said of how a coach approaches any team. Understanding the strengths and weaknesses of each team member is important, but it's more important to understand how the team members play together. Great teams can be composed of average players, while a disjointed combination of great players can make average teams.

Markowitz's efficient frontier, which maximizes returns for a given level of risk, is reached by smartly combining assets in a portfolio. A savvy combination of assets can actually decrease the risk of the portfolio to a lower level than any single asset in the portfolio (other than risk-free issues), which is one of the areas in which cryptoassets become particularly noteworthy. We will return to how an investor can craft such a portfolio after we outline the three core characteristics of individual assets.

Standard Deviation

Standard deviation of returns, or the range that an asset's price will vary from its mean value, is one of the most common measures of risk. While Markowitz's approach makes clear the need for risk in a portfolio, most investors are risk-averse to one degree or another, and so they must be compelled by the potential for increased reward if they are to increase their risk. To help with the anxiety of risk, MPT defines it quantitatively,